COMMENTS & REACTIONS

Terming India's 2013-14 Budget as fundamentally sound, the Washington based ***USIBC*** (United States India Business Council) lauded the government's plan to accelerate public sector divestment, a move that will stimulate greater efficiencies and productivity. "The government of India recognises that a growth rate of 5 per cent will not run its economic engine fast enough to create the jobs necessary to put India's young population to work," the USIBC President Ron Somers said. "This government well remembers the under-employment so rampant at that time, and in this 2013 budget, the Finance Minister has taken some corrective steps necessary to revitalise investor enthusiasm, spur growth, and tame government spending," Somers said, reflecting the views of the US corporate sector on the annual Budget.

USIBC reiterated its demand for increased liberalisation in the insurance, pension, defence, and retail sectors. These actions will attract capital and technology to India. Rather than the government resorting to out-dated "command-control" policies or mandates to require companies to manufacture locally, USIBC continues to press for market-based incentives for India to realise manufacturing goals, the statement said.

USIBC also said it is committed to support India in its USD 1 trillion dollar build-out of infrastructure, which will generate jobs and opportunities for both Indian and American companies. To mobilise the funds necessary for India to meet these mammoth targets, USIBC applauded India's important expansion of the capital markets, including increased debt limits for infra tax-free bonds and allowance of FIIs for the first time to trade in foreign exchange.

The Economist remarked – "It was hailed as India's most important budget for at least a decade. The optimists hoped that it might show the Indian economic miracle was back on track. Pessimists feared it would show a country descending into wild populism ahead of a general election due by mid-2014. Being asleep on the job is what Mr Singh's government is accused of over the last half decade and the economic statistics are certainly poor. GDP figures for the last quarter of calendar year 2012, released on the